20 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment was mixed, with renewed optimism around AI supporting risk appetite, while Middle East tensions and growing fiscal concerns in Europe remained key headwinds.

US technology stocks rebounded on hopes that AI investment will continue to support earnings, while European markets weakened and Asian equities were mixed.

Bond yields moved higher globally, with reduced haven demand weighing on US Treasuries and a sharp sell-off in French government bonds amid social unrest. Australian yields were little changed.

Currency moves were relatively contained, with the US dollar index broadly steady while the Australian dollar gained for a second consecutive session.

Oil remained near five-month highs, while gold and copper eased and iron ore moved higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.7	0.5%
AUD/USD	0.6979	0.5%
AUD/JPY	110.65	0.8%
AUD/GBP	0.5246	0.6%
AUD/NZD	1.2328	0.3%
AUD/EUR	0.6225	0.7%
AUD/CNH	4.6637	0.4%
AUD/SGD	0.8935	0.5%
AUD/HKD	5.4773	0.5%
AUD/CAD	0.9848	0.3%
EUR/USD	1.1211	-0.2%
USD/JPY	158.55	0.3%
USD Index	101.99	0.1%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.63	0.01
90 day BBSY	4.82	0.01
180 day BBSY	5.19	0.02
1 year swap	4.89	0.00
2 year swap	4.87	-0.01
3 year swap	4.88	0.00
4 year swap	4.90	0.00
5 year swap	4.95	0.01
6 year swap	5.00	0.02
7 year swap	5.06	0.02
8 year swap	5.11	0.02
9 year swap	5.16	0.02
10 year swap	5.20	0.03

Equities	Close	Change
S&P/ASX 200	8,846	0.4%
S&P 500	7,706	0.6%
Japan Nikkei	64,917	-0.6%
Hang Seng	24,187	0.5%
Euro Stoxx 50	6,145	-1.0%
UK FTSE100	10,765	-1.1%
VIX Index	18.26	-8.7%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.84	0.00
10 year bond	5.23	0.00
United States		
3-month T Bill	4.07	0.01
2 year bond	4.77	0.06
10 year bond	5.14	0.07
Other (10 year yields)		
Germany	3.46	0.03
Japan	2.91	-0.02
UK	5.43	0.06

Commodities	Current	Change
CRB Index	418.61	-0.3%
Gold	4142.08	-0.6%
Copper	14339	-0.5%
Oil (WTI futures)	103.70	2.3%
Coal (coking)	266.50	-0.2%
Coal (thermal)	156.05	0.9%
Iron Ore	91.75	0.4%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.31	0.06
3 yr bond	4.88	0.03
3 mth bill rate	4.77	0.00
SPI 200	8,785	-0.8%

Data as at 7:00am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets were pulled between renewed optimism around AI and a broader rise in geopolitical and fiscal risks. A rebound in chipmakers lifted US equities as investors looked to another major round of earnings for reassurance that the AI investment boom can continue to deliver. Elsewhere, oil remained near five-month highs as escalating Middle East tensions kept supply risks elevated, while mass protests across France over cost-of-living and dissatisfaction around education raised concerns that governments could be pushed towards additional spending, adding to already stretched debt burdens.

- Tech stocks led the rebound in US equities overnight. The Nasdaq outperformed, rising 1.1%, while the S&P 500 gained 0.6% while the Dow Jones closed 0.1% lower. Attention now turns to another busy week of corporate earnings, with several major companies including SpaceX, Tesla and Meta Platforms due. European equities moved in the opposite direction, with protests across several countries weighing on regional sentiment. The Euro Stoxx 50 fell 1.0% and the FTSE 100 declined 1.1%.
- Asian markets were mixed. Japan's Nikkei 225 finished 0.6% lower, recovering from an earlier fall of as much as 2.3%, as concerns around the funding demands of AI investment and rising interest rates remained in focus ahead of earnings season. Korean equities rebounded strongly, with the Kospi gaining 1.8%, supported by comments from government officials and a recovery in Samsung. Chinese equities were supported by a stronger-than-expected GDP result, with the CSI 300 gaining 0.1%. In Australia, the ASX 200 rose 0.4%. Hong Kong markets were closed for a holiday.
- Treasuries fell as a rebound in US technology shares sapped haven demand for US government debt, lifting yields across maturities. The 2-year and 10-year rose 6bps and 7bps respectively. The Federal Reserve remains in a communication blackout period until it meets later this month. Futures markets currently price in a 17% chance of a rate hike. Rising yields across European government bond markets added to the pressure on Treasuries. France led the sell-off, with the 10-year OAT yield climbing 13bps, while 10-year Bund and gilt yields rose 3bps and 6bps respectively.
- Australian government bond yields were little changed across the 3-year and 10-year maturities. In a fireside chat, RBA Assistant Governor (Financial Markets) Christopher Kent said there was reasonable evidence that the neutral rate was rising and questioned whether monetary policy was sufficiently restrictive. On the labour market, Kent cautioned against placing too much weight on individual monthly employment readings, but acknowledged that conditions had become less tight and were loosening faster than the RBA had forecast. Markets currently price around a 23% chance of a rate hike at the RBA's November meeting.
- The US dollar index rose 0.1%. The AUD gained against the USD for a second consecutive session, up 0.5% to 0.6979. Other USD crosses were mixed with the yen up 0.3%, with the euro and pound losing 0.2% against the greenback.
- Brent settled slightly lower, falling 0.4% to US109.47/bbl but recovered from a low of US$106.82/bbl. Meanwhile, WTI rose 2.3%, closing at US$103.40/bbl. Other commodities were mixed, with gold futures down 0.6%, copper losing 0.5%, while iron ore rose 0.4%.

Today's key data and events

Time	Event	Exp	Prev
17:00	GB ILO Unemployment Rate Aug	4.9%	4.9%
20:00	EZ Zew Survey Of Expectations Oct	-	25.8pts
23:30	US Housing Starts Sep	1.6%	-2.6%
23:30	US Building Permits Sep Prel.	-1.3%	-2.1%
1:00	US Pending Home Sales Sep	-0.5%	0.3%

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The **US NAHB housing market index** declined from 32 to 29 in October, a new low since the GFC. Cost-of-living and serviceability continue to weigh heavily on sales activity and sentiment towards housing.

Yesterday, **China GDP** surprised to the upside in Q3 2026, quarterly growth accelerating from 0.9% in Q2 to 1.2% in Q3. Annual growth lifted from 4.3% to 4.5% as a result, keeping authorities on track to achieve their 4.5-5.0%ytd ambition for 2026. While annual retail sales growth accelerated from 0.4% to 1.1% in September, the Q3 year-to-date growth pulse of 1.1% is just a quarter of the gain reported a year ago. Total fixed asset investment has been an outright negative for annual GDP growth since April, but a recovery is not beyond either the public or private sector's capacity. Rather, across the economy, entities are waiting for direction and incentive from the Central Government. This is likely to come by early-2027. Helpfully, industrial production continues to grow at a robust pace, 5.3%ytd, borrowing rates for businesses and households are low, and authorities are beginning to provide banks with additional lending capacity (see here for more information).

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